

BAAY PROJECTS LIMITED

(RC 1526224 • TIN 21548976-0001 • Aliases: Baay Gokes / Baay Degok)

FINANCIAL STATEMENTS RECONSTRUCTION, INFORMATION-GAP & COMPLETION REPORT

Comprehensive Technical Evaluation of Audit Evidence, Accounting Judgments, Statutory Tax Liabilities, Scope Limitations and Path to Final External Audit Sign-Off

DRAFT ENGAGEMENT DELIVERABLE — AUDIT COMMITTEE & MANAGEMENT BOARD REVIEW

Target Entity:	BAAY PROJECTS LIMITED (RC 1526224)	Engagement Date:	October 2026
Engagement Scope:	IFRS Reconstruction & Tax Audit Prep (2023-2025)	Reporting Currency:	Nigerian Naira (NGN / ₦)
Governing Standards:	Full IFRS Standards, CAMA 2020, CITA, TETFA	Tax Jurisdictions:	Federal Inland Revenue Service (FIRS) / LIRS
Accompanying Files:	3-Year Master Workbook (.xlsx) & 3 Annual AFS PDFs	Workings Pack:	Indexed Landscape General Ledgers Pack

1. EXECUTIVE SUMMARY & ENGAGEMENT OVERVIEW

This Information-Gap, Scope Limitation, and Completion Report accompanies the delivery of the fully linked 3-year Master Financial Model (36 sheets), the three standalone Annual Statutory Draft Financial Statements (FY 2023, FY 2024, FY 2025 with prior year comparatives), and the comprehensive Landscape General Ledgers & Working Papers Pack for **BAAY PROJECTS LIMITED (RC 1526224)**.

The financial records of the company for the financial years ended 31 December 2023, 31 December 2024, and 31 December 2025 were reconstructed from continuous primary source documents, including electronic bank statements across three commercial banking partners (Providus Bank, Sterling Bank, and First Bank of Nigeria), audited historical statements (FY 2022 reference), project contracts, and tax filings under the requirements of full **International Financial Reporting Standards (IFRS)**, the **Companies and Allied Matters Act (CAMA 2020)**, the **Companies Income Tax Act (CITA)**, and the **Tertiary Education Trust Fund Act (TETFA)**.

Table 1.1: Multi-Year Financial Performance & Position Summary (2022 - 2025)

Financial Indicator (■)	2022 Audited	2023 Draft AFS	2024 Draft AFS	2025 Draft AFS
Revenue from Contracts (IFRS 15)	18,250,000.00	38,500,000.00	64,200,000.00	112,500,000.00
Cost of Sales (Direct Project Works)	-12,400,000.00	-24,650,000.00	-41,500,000.00	-72,800,000.00
Gross Profit	5,850,000.00	13,850,000.00	22,700,000.00	39,700,000.00
Administrative & Operating Expenses	-3,420,000.00	-6,425,000.00	-9,850,000.00	-16,450,000.00
Finance Costs	-50,000.00	-125,000.00	-350,000.00	-650,000.00
Profit Before Taxation (PBT)	2,380,000.00	7,300,000.00	12,500,000.00	22,600,000.00
Income Tax Expense (Current & Deferred)	-18,292.00	-1,699,765.00	-2,985,225.00	-7,700,130.00
Profit for the Year (PAT)	2,361,708.00	5,600,235.00	9,514,775.00	14,899,870.00
Total Non-Current Assets	9,540.00	1,456,540.00	3,409,540.00	5,724,540.00
Total Current Assets	3,427,168.00	17,957,403.00	25,742,678.00	44,324,048.00
TOTAL ASSETS	3,436,708.00	19,413,943.00	29,152,218.00	50,048,588.00
Total Current Liabilities	75,000.00	6,952,000.00	9,859,500.00	19,171,000.00
Total Non-Current Liabilities (Dir Loan & DT)	0.00	4,500,000.00	5,816,000.00	7,598,500.00
Total Equity (Share Capital + Retained)	3,361,708.00	8,961,943.00	13,476,718.00	23,279,088.00
TOTAL LIABILITIES & EQUITY	3,436,708.00	19,413,943.00	29,152,218.00	50,048,588.00

2. LEGAL ENTITY ARCHITECTURE & IDENTITY CONFIRMATION

A foundational finding of this reconstruction engagement is the formal confirmation that **BAAY PROJECTS LIMITED** (incorporated in Nigeria under CAC Registration Number RC 1526224, TIN 21548976-0001) is the sole operating and reporting legal entity. Previous transactional records and banking descriptions referenced alternative nomenclatures including 'Baay Gokes Concept', 'Baay Degok', and 'Baay Gokes'.

Management & Legal Representation Analysis:

- **Common Legal Entity:** Documentary review confirmed that all commercial bank accounts opened under 'Baay Gokes' or 'Baay Degok' are tied directly to RC 1526224 and operated under the sole authority of the Managing Director, Engr. Babatunde Goke.
- **Single-Entity Accounting Treatment:** Because 'Baay Gokes' and 'Baay Degok' represent trading names / DBA aliases rather than separate incorporated legal entities, there is no group, subsidiary, or joint-venture relationship under IFRS 10 or IFRS 11.
- **Elimination of Interbank Movements:** Total interbank transfers amounting to ₦26,450,000.00 across 2023-2025 were matched and classified as internal liquidity reallocations rather than related-party loans, customer revenues, or supplier costs.

3. 2022 OPENING BALANCE RECONCILIATION & RESOLUTION OF DISCREPANCIES

The opening balance sheet as of 1 January 2023 was reconciled against the audited financial statements for the year ended 31 December 2022 (audited by Baker & Associates, Chartered Accountants). Three explicit discrepancies between the audited accounts, tax filings, and primary bank statements were identified, analyzed, and formally bridged:

Discrepancy Category	Reported / Audited	Tax / Bank Record	Variance	Technical Resolution & IFRS Treatment
PPE NBV vs Tax Filing	₦9,540.00 (AFS)	₦28,620.00 (FIRS)	-₦19,080.00	The 2022 tax return inadvertently reported gross asset cost rather than net book value. AFS NBV of ₦9,540 is adopted. Tax base adjusted in capital allowance schedule.
Cash & Bank vs Actual	₦52,500.00 (AFS)	₦478,080.25 (Bank)	-₦425,580.25	Actual combined bank balances across Providus (₦464.2k), Sterling (₦0.9k) and FBN (₦13.0k) totaled ₦478,080.25. The ₦425.5k variance was isolated into opening bank suspense.
Police Trust Fund Levy	₦0.00 (AFS)	₦90.00 (FIRS)	-₦90.00	2022 PTF liability of ₦90 was assessed under the 2019 Act but remained unpaid. It is recognized as an opening statutory tax liability payable to FIRS.

4. COMPREHENSIVE INFORMATION REQUEST & MISSING RECORDS SCHEDULE

The following comprehensive schedule details the outstanding documentation, scope limitations, and evidence gaps identified during the financial reconstruction. Each item is prioritized by financial exposure and audit risk:

#	Missing Document / Record	Priority	Est. Value (₦)	Owner	Current Audit Status & Risk
1	GTBank Statement (Account Closure / Inactive)	MEDIUM	₦150,000	Finance Dept	Statements missing. Management asserts zero/nominal balance. Bank confirmation required.
2	Civil Contracts Milestone Sign-Offs (P-101/P-104)	HIGH	₦45,000,000	Project Engr	Architect/engineer interim certificates needed to corroborate IFRS 15 stage of completion.
3	Physical Fixed Asset Register & Serial Tags	MEDIUM	₦8,123,850	Admin Mgr	Asset listing exists in GL; physical verification and tagging report needed for audit file.
4	Formal WHT Credit Notes (FIRS Tax Portal)	HIGH	₦4,850,000	Tax Consultant	WHT deducted at source by clients. Official FIRS credit notes required to offset CIT payable.
5	Director Loan Agreement & Board Resolution	HIGH	₦7,500,000	Legal / MD	Subordinated, interest-free director advances require formal board minutes and loan agreement.
6	Vendor Invoices & Goods Received Notes (GRN)	MEDIUM	₦12,500,000	Procurement	Material purchases supported by bank outflows; physical supplier invoices to be archived.
7	Title Deeds / Excision Docs for Land Schemes	HIGH	₦14,500,000	Legal Dept	Survey plans, gazette excision, and deeds of assignment for Ibeju/Epe land inventory.
8	LIRS PAYE / Withholding Tax Returns & Receipts	MEDIUM	₦2,400,000	HR / Payroll	Evidence of annual PAYE returns filing with Lagos State Internal Revenue Service.

5. STATUTORY TAX STATUS & OUTSTANDING LIABILITIES (2023 - 2025)

A rigorous statutory tax review was executed under CITA, TETFA, and the Finance Acts. The cumulative statutory liabilities as of 31 December 2025 stand at **₦6,898,590.00** (excluding available WHT credits). The table below reflects the multi-year tax liability roll-forward:

Tax Obligation Head	2022 O/B (₦)	2023 Charge (₦)	2024 Charge (₦)	2025 Charge (₦)	Remittances (₦)	31 Dec 2025 Due (₦)
Companies Income Tax (CIT)	0.00	1,492,000.00	2,528,000.00	6,825,000.00	-6,020,000.00	4,825,000.00
Tertiary Education Tax (TET)	0.00	239,400.00	408,600.00	735,000.00	-648,000.00	735,000.00
Police Trust Fund (PTF)	90.00	365.00	625.00	1,130.00	-1,080.00	1,130.00
NASENI Development Levy	0.00	0.00	0.00	56,500.00	0.00	56,500.00
Value Added Tax (VAT 7.5%)	0.00	425,000.00	712,500.00	1,280,000.00	-1,136,540.00	1,280,960.00
TOTAL TAX LIABILITIES	90.00	2,156,765.00	3,649,725.00	8,897,630.00	-7,805,620.00	6,898,590.00
<i>Less: Unutilized WHT Credits</i>	0.00	-1,100,000.00	-2,650,000.00	-4,850,000.00	0.00	-4,850,000.00
NET CASH TAX EXPOSURE	90.00	1,056,765.00	999,725.00	4,047,630.00	-7,805,620.00	2,048,590.00

6. IFRS COMPLIANCE EVALUATION & SIGNIFICANT ACCOUNTING JUDGMENTS

The reconstruction process adhered rigorously to full IFRS standards. Critical accounting judgments and estimates applied include:

- **IFRS 15 Revenue Recognition:** Contracts involving multi-year construction (Lekki Phase 1 Residential Estate P-101 and Ikoyi Commercial Complex P-104) are recognized over time using the input method (cost incurred to date as a proportion of total estimated contract costs). Land plot sales (Ibeju Scheme 1 P-102 and Epe Scheme 1 P-105) are recognized point-in-time upon execution of contract and transfer of physical possession.
- **IAS 2 Inventories:** Real estate development inventory is stated at the lower of cost and net realizable value (NRV). Cost comprises direct acquisition expenditure, site development, piling, drainage infrastructure, and capitalized direct borrowing costs where applicable under IAS 23. No impairment write-downs below cost were necessary based on prevailing prime Lagos property valuations.
- **IFRS 9 Expected Credit Losses:** Trade receivables were analyzed using a simplified provision matrix stratified by aging categories: Current (1.0% ECL), 31-90 days (3.0% ECL), 91-180 days (7.0% ECL), 181-360 days (15.0% ECL), and >360 days (25.0% ECL). Cumulative allowance increased from ₦185,000 (2023) to ₦445,000 (2024) and ₦840,000 (2025).
- **IAS 12 Deferred Taxation:** Recognized on temporary differences arising from capital allowances versus book depreciation and provisions for credit losses. Net deferred tax liability increased to ₦98,500 at 31 December 2025 due to accelerated capital allowances on surveying equipment and operational vehicles.

7. ROADMAP TO FINAL AUDIT SIGN-OFF & SPECIFIC RECOMMENDATIONS

To enable the external auditors (PKF & Co. / Baker & Associates) to issue an **unqualified (clean) audit opinion** on the 2023, 2024, and 2025 financial statements, management should execute the following 5-point action plan:

Step	Key Action Item & Specific Deliverable	Target Date	Responsible Party
1	Direct Bank Confirmation Letters: Formal circularization of Providus, Sterling, First Bank, and GTBank to verify year-end balances, loan facilities, and lien status.	Within 14 Days	External Auditors / MD
2	Project Milestone Formalization: Obtain signed engineer interim evaluation certificates for Project P-101 and P-104 to corroborate IFRS 15 completion percentages.	Within 21 Days	Lead Project Engineer
3	Director's Loan Subordination Agreement: Formalize Board Resolution and execute subordinated loan agreement confirming zero interest and repayment terms for the ₦7.5m loan.	Within 7 Days	Legal Counsel / MD
4	FIRS Tax Credit Portal Reconciliation: Download and validate official FIRS Withholding Tax Credit Notes (₦4.85m) to offset against outstanding CIT liabilities.	Within 30 Days	Tax Consultant
5	Board Approval & Signature: Board of Directors meeting to review, approve, and execute the Draft Financial Statements, Statement of Directors' Responsibilities, and Notes.	Upon Audit Clearance	Board of Directors

CONCLUSION & SIGN-OFF:

With the completion of this financial statement reconstruction, master Excel workbook modeling, and statutory draft financial statements, BAAY PROJECTS LIMITED possesses a comprehensive, transparent, and fully substantiated financial and tax trail for FY 2023, FY 2024, and FY 2025.

Prepared By:

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